ACTS RELATED TO SOCIAL ORGANIZATIONS

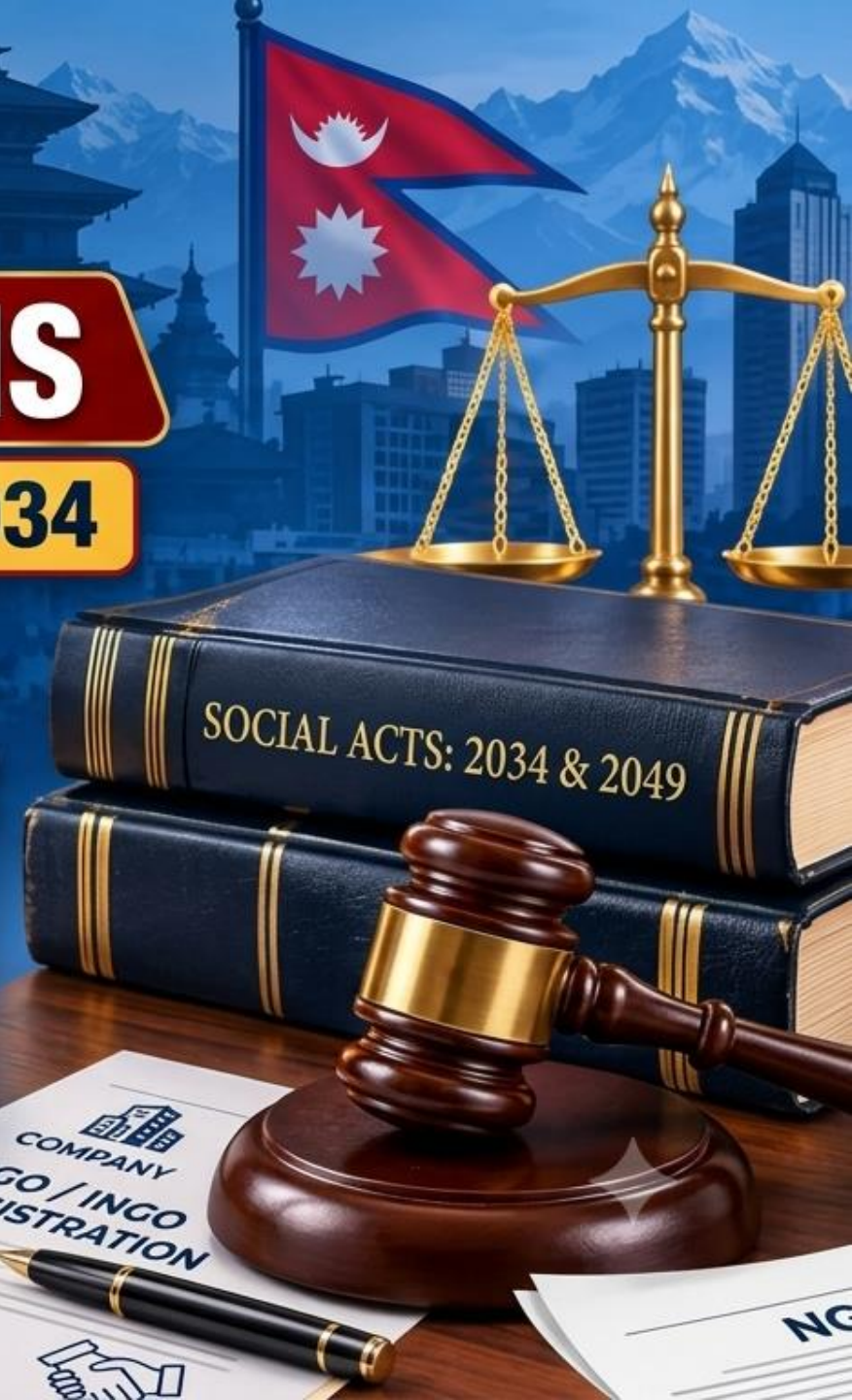
ASSOCIATIONS REGISTRATION ACT, 2034

SOCIAL WELFARE ACT, 2049

सामाजिक संस्था दर्ता ऐन, २०३४ र समाज कल्याण ऐन, २०४९

For Application / CAP II Level

By CA Govinda Tamang



Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

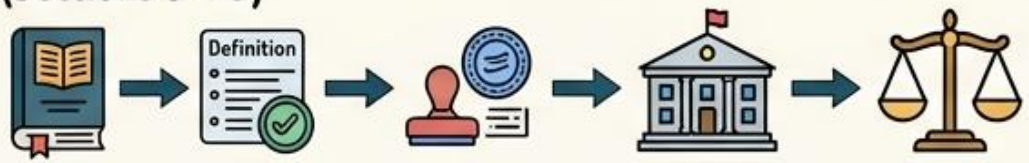
ACTS RELATED TO SOCIAL ORGANIZATIONS: LO6

ASSOCIATIONS REGISTRATION ACT, 2034

Candidates will be able to understand objective and definition of the related terms of the Act and explain the provisions of establishment, registration and dissolution of Associations in Nepal.

In the assessment, candidates may be required to:

a) State the objectives along with the definition of the related terms of the Act (Section 1 – 2) and explain the registration, prohibition on establishment without registration of an Association and provision of Association to be a corporate body. (Sections 3 – 5)



b) Explain about Dissolution of Association and Consequences Thereof (Section 14)



SOCIAL WELFARE ACT, 2049

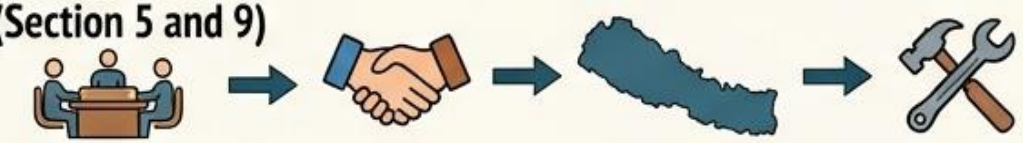
Candidates will be able to understand the objective and definition of the related terms of the Act, explain about the Social Welfare Council (Council).

In the assessment, candidates may be required to:

a) State the objectives of the Act along with the definition of related terms of the Act, identify social welfare programme and special programme relating to social welfare (Section 1 – 4)



b) Identify the council and its Functions, Duties and Powers (Section 5 and 9)



c) Explain about Permission and agreement and affiliation with the council (Section 12 - 13)



d) Explain provisions relating to economic assistance (Section 16), suspension or dissolution (Section 20) and annual report (section 23)



ASSOCIATIONS REGISTRATION ACT, 2034 (1977)

NEPAL

Act No. 10 of 2034 (BS)
Date of Royal Seal and Publication: 2034.5.27

PURPOSE & PREAMBLE

To provide for the establishment and registration of various types of Associations.

PROVISIONS RELATING TO ESTABLISHMENT AND REGISTRATION OF:

- Social
- Religious
- Literary
- Cultural
- Distoric
- Statigat
- Scientific
- Educational
- Intellectual
- Physical
- Economic
- Professional
- Philanthropic

ACTS AMENDING THIS ACT

1. 2043.7.24 — Justice Administration Reform (Fourth Amendment) Act, 2043 Date: 2043.7.24
2. 2048.2.16 — Justice Administration Act, 2048
3. 2049.1.8 — Some Nepal Acts Amendment Act, 2048
4. 2066.10.7 — Republic Strengthening and Some Nepal Laws Amendment Act, 2066
5. 2072.11.13 — Some Nepal Acts Amendment Act, 2072

A Legally Binding Framework in Nepal

State the objectives along with the definition of the related terms of the Act (Section 1 – 2) and explain the registration, prohibition on establishment without registration of an Association and provision of Association to be a corporate body. (Sections 3 – 5)

LO	Syllabus content	Technical grid reference
LO 10a	❖ Preamble, Short title and Commencement ❖ Definitions ❖ Prohibition on Establishment of Association Without Registration ❖ Registration of Association ❖ To Be a Corporate Body	Section 1 to 5 of the Associations Registration Act, 2034

SECTION 2. DEFINITIONS (ASSOCIATION REGISTRATION ACT)

Unless the subject or context otherwise requires, in this Act,–



(a) "ASSOCIATION"

means an association, organization, club, mandal, council, study centre or the like established with the objective of developing and promoting social, religious, literary, cultural, scientific, educational, intellectual, doctrinal, physical, economic, professional and philanthropic works, and the term also includes a friendship association (maitri sangh).

(b) "LOCAL AUTHORITY"



means the officer designated by Nepal Government by notification published in the Nepal Gazette and, where no officer has been so designated, the Chief District Officer.







(c) "MANAGEMENT COMMITTEE"

means the management committee formed in accordance with the constitution of the Association.



(d) "PRESCRIBED" or "AS PRESCRIBED"

means prescribed or as prescribed in the Rules framed under this Act.



SECTIONS 3–5: REGISTRATION & LEGAL STATUS OF ASSOCIATION

SECTION 3 – ASSOCIATION MUST BE REGISTERED



No person may establish an Association without registration under the Act.

SECTION 4 – REGISTRATION OF ASSOCIATION



- Name of Association
- Objectives
- Names, addresses & occupations of Management Committee members
- Financial sources
- Office address
- One copy of the constitution and prescribed fee



If the Local Authority finds it appropriate after inquiry → Registers the Association and issues registration certificate.

If registration is refused → Applicant may appeal within 35 days of receiving the notice to the officer designated by Nepal Government.

If the appeal is accepted → Designated officer may order the Local Authority to register the Association.

Certificate format, validity, renewal and renewal fee are as prescribed.

SECTION 5 – REGISTERED ASSOCIATION AS CORPORATE BODY



It may acquire, enjoy, sell and otherwise dispose of movable and immovable property like an individual.



It can sue and be sued in its own name.



Explain about Dissolution of Association and Consequences Thereof (Section 14)

LO	Syllabus content	Technical grid reference
LO 10b	❖ Dissolution of Association and Consequences Thereof	Section 14 of the Associations Registration Act, 2034

SECTION 14 – DISSOLUTION OF THE ASSOCIATION & CONSEQUENCES

An Association may be dissolved:



According to its constitution;



When it is unable to carry on its work as per its constitution;



For any other reason.

UPON DISSOLUTION:

ALL ASSETS AND LIABILITIES VEST IN NEPAL GOVERNMENT.



ASSOCIATION'S ASSETS



LIABILITIES



NEPAL GOVERNMENT



Nepal Government bears the liabilities of the dissolved Association **to the extent of the assets and liabilities so vested.**

NEPAL'S SOCIAL WELFARE ACT, 2049 (1992)

ACT No. 29 of 2049 (BS)

KEY DATES & AMENDMENTS

- **Original Publication (Royal Seal):** 2049.7.17
- **Revival Act (Some Nepal Acts):** 2063.4.23
- **Republic Strengthening & Law Amendment:** 2066.10.7
- **Some Nepal Acts Amendment:** 2072.11.13
- **Conformity with Constitution of Nepal Amendment:** 2075.11.19

2049.7.17 — 2063.4.23 — 2066.10.7 — 2072.11.13 — 2075.11.19

PRIMARY OBJECTIVES

ALL-ROUND DEVELOPMENT OF NEPAL & SOCIETY

- Link social welfare and social service with development and construction works.
- Coordinate activities of Non-Governmental social associations and organizations.
- Maximize the reach and effectiveness of social services.

TARGET GROUPS

SUPPORT WEAK & HELPLESS INDIVIDUALS & COMMUNITIES



Weak and Helpless Persons



Marginalized Classes and Communities



Marginalized Classes and Communities

- Enabling a Life Worthy of Human Beings

FOSTERING SOCIAL SERVICE

ENHANCE DIGNITY & PRESTIGE

- Elevate Social Service Associations and Organizations.
- Recognized Individual Contributions.
- Promote Volunteerism and Public Service.





SOURCE: SOCIAL WELFARE ACT, 2049 (1992) PREAMBLE

State the objectives of the Act along with the definition of related terms of the Act, identify social welfare program and special programme relating to social welfare (Section 1 – 4)

LO	Syllabus content	Technical grid reference
LO 11a	❖ Preamble, Short title and Commencement ❖ Definitions ❖ Social welfare program ❖ Special program relating to social welfare	Section 1 to 4 of the Social Welfare Act, 2049

SOCIAL WELFARE ACT: Section 2. Definitions

– Unless the subject or context otherwise requires, in this Act,–



(a) "Social welfare work" means social work carried out to provide services to weak, helpless and incapacitated persons of society and to make backward classes of society economically and socially capable.





(b) "Social service" means social welfare work carried out, individually or collectively, without the objective of profit.



(c) "Social association and organization" means a non-governmental social association and organization established under prevailing law to carry out social welfare work and engaged in social service.





(d) "Council" means the Social Welfare Council established under section 5.



(e) "Chairperson" means the Chairperson of the Council.





(f) "Member" means a member of the Council, and the term also includes the Chairperson, Vice-Chairperson, Treasurer and Member-Secretary.



(g) "Constitution" means the constitution of an association or organization.





(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

SOCIAL WELFARE ACT: PROGRAMMES AND SPECIAL FOCUS.

SECTION 3. SOCIAL WELFARE PROGRAMMES





Nepal Government may operate social welfare programmes through the concerned ministry and social associations and organizations, in order to support the all-round development of the country through various activities related to social welfare work.



SECTION 4. SPECIAL PROGRAMMES RELATING TO SOCIAL WELFARE

Nepal Government may operate special programmes in relation to social welfare work and social service on the following subjects:–

(a)



to promote the interest and welfare of children, the elderly, helpless persons or persons with disabilities,

(b)



to increase participation in development and to protect and promote the rights and interests of women,

(c)



to enable persons afflicted by juvenile delinquency, narcotic drug abuse or other bad habits and social disorders to live dignified and respectable lives,

(d)



to enable unemployed, poor or uneducated uneducated persons to live respectable lives,

(e)



to regulate the activities of religious places and guthis,

(f)



to make necessary arrangements for the interest of backward communities or classes.

Identify the council and its Functions, Duties and Powers (Section 5 and 9)

LO	Syllabus content	Technical grid reference
LO 11b	❖ Formation of the council ❖ Nature of the council ❖ Meetings and decisions of the council ❖ Functions, duties and powers of council	Section 5 and 9 of the Social Welfare Act, 2049

ESTABLISHMENT OF THE SOCIAL WELFARE COUNCIL (SECTION 5)

(1) PURPOSE & OBJECTIVES



(2) COMPOSITION OF THE COUNCIL

MEMBER STRUCTURE (2)

CHAIRPERSON: MINISTER, Ministry of Women, Children and Senior Citizens (a)

OFFICERS

VICE-CHAIRPERSON: One nominated Social Worker (b)

TREASURER: One nominated Social Worker (c)

OTHER MEMBERS

- **MEMBER:** Member (Social Services), National Planning Commission (e)
- **MEMBER:** Representative, Concerned Ministry (Social Welfare) (h)
- **MEMBER:** Representative, Ministry of Home Affairs (i)
- **MEMBER:** Representative, Ministry of Federal Affairs and General Administration (j)
- **MEMBER:** Representative, Ministry of Finance (k)
- **MEMBER:** Representative, Ministry of Health and Population (l)
- **MEMBER:** Representative, Ministry of Education, Science and Technology (m)

[d) ..... [Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066]]

MEMBER: Up to 4 Nominated Social Workers (including at least one Woman) (f)

MEMBER: 3 Persons Nominated from various Social Associations & Organizations (g)

MEMBER-SECRETARY: Person nominated by Nepal Government (n)

TENURE & RE-APPOINTMENT (3)

4 YEARS

Nominated members: 4 years term, may be re-nominated

MEMBER ALTERATION (4)

Government may alter members on Council's reasoned recommendation, via Nepal Gazette notice

[1] Amended by the Act to Amend Some Nepal Acts to Bring them in Conformity with the Constitution of Nepal, 2075. [2] Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

SECTIONS 6-8 — SUMMARY

SECTION 6: COUNCIL AS A CORPORATE BODY



Autonomous corporate body with perpetual succession

Has a separate seal for official works

May, like an individual:

- Acquire, hold, sell or dispose of movable and immovable property
- Sue and be sued in its own name

Council shall have a separate flag

SECTION 7: OFFICE OF THE COUNCIL



Central office: Kathmandu



Council may establish liaison offices within Nepal as necessary

SECTION 8: MEETINGS & DECISIONS



Council must meet at least **twice** a year





Date, time and place are fixed by the Chairperson



Quorum: At least 50% of total members must be present

Presiding officer:

- Chairperson
- Vice-Chairperson, in Chairperson's absence
- Member chosen by members, if both are absent



Decisions are based on majority opinion

In case of a tie, the presiding person has the casting vote



In case of a tie, the presiding person has the casting vote



Council decisions are certified by the Member-Secretary



Other meeting procedures are determined by the Council itself

9. Functions, duties and powers of the Council:

The functions, duties and powers of the Council shall be as follows:–



(a) To carry out social welfare work effectively, to assist social associations and organizations, to coordinate among them, and to monitor, supervise and evaluate, or cause to be monitored, supervised and evaluated, their work.



(b) To provide, or cause to be provided, necessary assistance for the establishment, development, expansion and strengthening of social associations and organizations.



(c) To act, or cause to act, as coordinator between Nepal Government and social associations and organizations.



(d) To give necessary advice to Nepal Government on the formulation of policies and design of programmes relating to social welfare work and social service.



(e) To establish and operate, or cause to be established and operated, a fund for social welfare work.



(f) To act, or cause to act, as an information and documentation centre for associations and organizations affiliated with the Council that are engaged in social service.



(g) To provide training, and to conduct, or cause to be conducted, study and research on matters relating to social welfare work.



(h) To conduct, or cause to be conducted, physical audit of social associations and organizations affiliated with the Council.



(i) To do, or cause to be done, other necessary acts to implement the objectives of this Act.



(j) To enter into, or cause to be entered into, necessary agreements or contracts with domestic, foreign or international associations and organizations and with foreign countries.



(k) To mobilize assistance from the national and international sectors and to properly manage the assistance amounts received.

Explain about Permission and agreement and affiliation with the council (Section 12 - 13)

LO	Syllabus content	Technical grid reference
LO 11c	❖ Executive committee ❖ Sub-committee ❖ Permission and agreement required for foreign NGOs ❖ Affiliation of social organizations and institutions	Section 12 and 13 of the Social Welfare Act, 2049

SECTIONS 10–13 — SUMMARY

SECTION 10 — FORMATION OF EXECUTIVE COMMITTEE

Formed by Council from among its members.



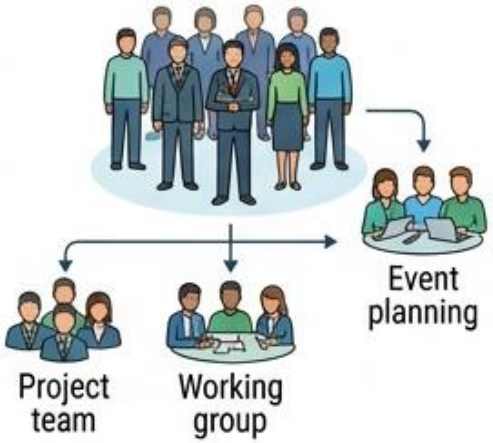
Maximum 7 members

- Chairperson
- Vice-Chairperson
- Treasurer
- Member-Secretary

Key Responsibilities:
Prepares annual programme, budget, policies. Gets approved by Council meeting & implements them.
Other functions as prescribed.

SECTION 11 — SUB-COMMITTEES

Formed as necessary for smooth functioning.

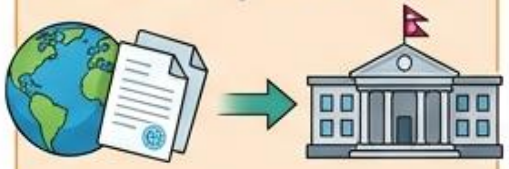


Functions, duties, powers & procedures **determined by the Council.**

SECTION 12 — PERMISSION & AGREEMENT

Foreign NGO/association

Must apply for permission before starting work in Nepal.



Council decides within a max of **3 months.**

After obtaining permission, must enter into **agreement** before commencing work.



SECTION 13 — AFFILIATION WITH COUNCIL

Social association/organization

Seek affiliation: Apply in prescribed format.

Application must include:

- Constitution
- Names, occupations & addresses of Executive Committee members
- Office & registration date

Council conducts **necessary inquiry.**

If appropriate, **grants affiliation** after collecting prescribed fee.

Affiliated organization may **disaffiliate** itself as prescribed.

Explain provisions relating to economic assistance (Section 16), suspension or dissolution (Section 20) and annual report (section 23)

LO	Syllabus content	Technical grid reference
LO 11d	❖ Constitution ❖ Automatic affiliation ❖ Social organizations and institutions willing to get assistance ❖ Fund of the council ❖ Account and auditing ❖ Delegation of authority ❖ Suspension or dissolution ❖ Provision related to employees ❖ Involvement of the social organizations or institutions ❖ Annual report submission ❖ Power to remove difficulties ❖ Contact with government of Nepal ❖ Power to frame laws ❖ Saving and repeal	Section 14 to 23 of the Social Welfare Act, 2049

SECTIONS 14–16 — SUMMARY

SECTION 14 – CONSTITUTION OF SOCIAL ASSOCIATIONS/ORGANIZATIONS



Constitution of an organization seeking Council affiliation must include:

- Matters required by prevailing law; and
- Prescribed matters under the Act.



SECTION 15 – EXISTING CERTIFIED ASSOCIATIONS/ORGANIZATIONS



Organizations that obtained certificates from the Social Service National Coordination Council **before commencement of the Act are deemed affiliated with the Council.**

Such organizations must:

- Amend and harmonize their constitutions with the Act.
- Submit the amended constitution to the Council within 1 year of commencement of the Act.

SECTION 16 – FINANCIAL ASSISTANCE



Organizations seeking material, technical, financial or other assistance from:



must apply to the Council with the project/work proposal and required details.

PROCEDURES & RULES:

- URGENT WORKS: assistance up to Rs. 200,000 annually may be received by giving prior information to the Council.
- Report must be submitted within 3 months after completion.
- Council, in coordination with the concerned ministry/body, must approve the application within a maximum of 45 days.
- Council may reject projects against national interest.
- Approved projects must be implemented with the assistance and coordination of the concerned local level.
- Organizations established under international conventions to which Nepal is a party do not require prior Council approval for assistance received for emergency relief services.
- Council must be informed after receiving such assistance.
- Financial assistance from a foreign organization for an approved project must be provided through commercial banks operating in Nepal.

SECTIONS 17–18 — SUMMARY

SECTION 17 — FUND OF THE COUNCIL



FUND SOURCES:

Council shall maintain a separate fund consisting of:



- Amounts received from Nepal Government.



- Amounts received through Nepal Government from foreign governments, international/international organizations or foreign organizations.



Income from Council's movable and immovable property.



Subscriptions, assistance, grants or donations from persons, organizations or countries.



Amounts received from other sources.

FUND MANAGEMENT:



Funds must be deposited in an account in the Council's name at Nepal Rastra Bank or a commercial bank.



Council's expenses shall be met from this fund.



Operation of the account shall be as prescribed.

SECTION 18 – ACCOUNTS AND AUDIT



AUDIT PROCEDURES:



- Council shall maintain accounts in the format/manner adopted by Nepal Government.



Council's audit shall be conducted by the Department of the Auditor General.



Accounts and audit of affiliated social associations/organizations shall be as prescribed.

INSPECTION POWERS:



Official

Nepal Government may inspect or cause inspection of the Council's:

- Account-related documents,
- Cash,
- Goods at any time.





Council leader

Council may similarly inspect or cause inspection of the account-related documents, cash and goods of affiliated social associations and organizations at any time.



SECTIONS 19–27 — SUMMARY

Section 19 – DELEGATION OF POWERS

COUNCIL → DELEGAT POWERS

List of delegates:
- Chairperson
- Vice-Chairperson
- Member
- Executive Committee
- Sub-Committee

CHAIRPERSON →

List of delegates:
- Council member
- Officer-level employee (as necessary)

Section 20 – SUSPENSION OR DISSOLUTION

NEPAL GOVERNMENT

COUNCIL RECOMMENDATION

Any actions against prevailing law or constitution on cause for organizations

SUSPEND → REASONABLE OPPORTUNITY FOR CLARIFICATION → FORM AD HOC COMMITTEE (from general members)

DISSOLVE → DISSOLVE → FORM NEW EXECUTIVE COMMITTEE (within 3 months, according to constitution)

Section 21 – EMPLOYEES

Council may **APPOINT** employees

Determine **REMUNERATION, TERMS OF SERVICE, FACILITIES**

Section 22 – RESTRICTION ON INVOLVEMENT



Council employees **CANNOT** serve as **OFFICE-BEARERS** or **EXECUTIVE COMMITTEE** members of social associations/organizations affiliated with the Council.

Section 23 – ANNUAL REPORT



Council must **SUBMIT** report to **MINISTRY of Women, Children and Senior Citizens** (within 6 months after fiscal year-end)

Contents:
- Audit report
- Detailed account of work performed

Affiliated organizations must similarly **SUBMIT** reports to the **COUNCIL** (within 6 months)

Section 24 – REMOVAL OF DIFFICULTIES



If difficulties arise implementing the Act, **NEPAL GOVERNMENT** may remove them through an order in **NEPAL GAZETTE.**



Section 25 – CONTACT WITH NEPAL GOVERNMENT



Council maintains **CONTACT** with **NEPAL GOVERNMENT** through the **MINISTRY** of Women, Children and Senior Citizens.



Section 26 – POWER TO FRAME RULES



Council may **FRAME** necessary **RULES** to fulfill the objectives of the Act.



Section 27 – REPEAL & SAVINGS

SOCIAL SERVICE NATIONAL COORDINATION COUNCIL ACT, 2034 (1977) is **REPEALED.**

→ **NEW ACT COUNCIL**

Rights and liabilities TRANSFER to the Council under this Act.

Employees of the former Council are **TRANSFERRED** to the new Council.

Thank You!



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